

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 6

Honorable Rafael Sivilla-Jones, Presiding

191 North First Street, San Jose, CA 95113

Telephone: (408) 882-2160

August 18, 2026

9:00 and 9:01 A.M.

RECORDING COURT PROCEEDINGS IS PROHIBITED

ORAL ARGUMENT

Before 4:00 PM today you must notify the:

- (1) Court by calling (408) 808-6856 and
- (2) Other side by phone or email that you will appear at the hearing to contest the tentative

If you fail to so notify the court or opposing side, the Court will not hear argument, and the tentative ruling will be adopted. (California Rule of Court 3.1308(a)(1) and Local Rule 8.E.)

REMOTE APPEARANCES

Phone only appearances are PROHIBITED. In-person appearances are preferred.

For necessary virtual appearances, you **must use video** and follow **Civil Local Rule 5**.

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Department 6: <https://santaclara.courts.ca.gov/online-services/remote-hearings>

LINE	CASE NO.	CASE TITLE	TENTATIVE RULING
9:00 <u>1</u>	22CV404448	Dennis House vs. Vanderhall Motor Works, Inc., et.al.	Plaintiff moves this court to strike Defendant's answer. According to Defendant's opposition brief, Defendant has agreed to take motion off calendar.
9:00 2-4	22CV408165	Andrew Mo vs. Samsung Research America, Inc.	See below, Line items 2-3 Line Item No.4: Defendant petitions this court to compel Plaintiff for production of 3 rd set of documents and 3 rd Set of Special Interrogatories. This court finds that Defendant's RFP Production No. 40 is overbroad. Petition to compel production NO.40 of Defendants 3 rd set of documents is DENIED. With regards to Special Interrogatories Set 3 No. 67, this court finds that Plaintiff complied with request. Petition to Compel Special Interrogatory No. 67, Set 3 is DENIED. All other RFP from Defendant's Request for Production of Documents, Set 3 is GRANTED—Plaintiff is ordered to produce a privilege log. All other Requests for Special Interrogatories Set 3 is GRANTED—Plaintiff is ordered to produce a privilege log. Plaintiff is ordered to produce documents within seven days. Monetary sanctions is GRANTED—Court requests argument as to the amount.
9:00 5	22CV409123	Esmeralda Guzman, et.al. vs. Paula Arroyo, et.al.	Defendants move this court to bifurcate trial. Defendant argues that bifurcation would increase judicial economy and serve the interests of justice. This court is not in agreement that such bifurcation is appropriate in this case. The facts related to the various issues Defendant suggests bifurcating involve the same witnesses and related legal issues. Defendants' motion is DENIED.
9:00 6	23CV424190	AI Technology & Systems vs. Renesas Electronics America	Case is off calendar.
9:00 7	24CV434917	Darcel Stoner vs. SCA of CA, LLC, et.al.	Plaintiff moves this court to quash subpoenas served by Defendant. Plaintiff filed suit claiming racial discrimination and emotional distress upon Defendant's reassigning Plaintiff from Palo Alto to Dublin. Defendant's subpoenas encompass past employment records that appear relevant to fully investigating Plaintiff's claims. Plaintiff's motion is DENIED subject to limiting the discovery to attorney's eyes only and to nonprivileged information.
9:00 8	25CV457159	Shengsheng Guan vs. Tong Liu	Plaintiff moves this court to compel further responses to Plaintiff's form interrogatories and request for production of documents. Defendant responded one day before this motion was filed. Defendant complied with Plaintiff's discovery requests. Plaintiff's motion is DENIED. Plaintiff's motion for sanctions is DENIED.
9:00 9	25CV462532	Anil Jain vs. Ashwini Kumar	Civil bench warrant was issued to order Defendant to court.
9:00 10	25CV486237	David Wu vs. Karina Duarte	Plaintiff petitions this court to compel Defendant to respond to form interrogatories and a request to produce documents. Defendant has failed to do so. Plaintiff's petition is GRANTED. Plaintiff's motion for monetary sanctions is GRANTED.
9:00 11-12	26CV486237	Martha Pulido vs. FCA US	See below.
9:00 13	26CV490199	Charles Cheever vs. State Farm General Insurance	See below.

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Calendar Lines 2-3

Case Name: *Mo v. Samsung Research America, Inc., et al.*

Case No.: 22CV408165

After full consideration of the evidence, the separate statements submitted by the parties, and the authorities submitted by each party, the court makes the following rulings:

As stated in the Court’s prior December 24, 2025 order, plaintiff Andrew Mo (“Plaintiff”) began working for defendants as the Laboratory Head of Samsung Research America Inc.’s (“SRA”) Visual Display Intelligence Lab (“VDIL”) in May of 2021. (See first amended complaint (“FAC”), ¶ 1.) SRA researches and builds new technologies to enhance Samsung products. (See FAC, ¶ 2.) Samsung Electronics America, Inc. (“SEA”) markets, distributes, and provides support for Samsung-branded consumer electronics, home appliances, and mobile devices in the United States. (See FAC, ¶ 3.) Samsung Electronics Co., Ltd. (“SEC”) is the parent company of SEA and engages in the design development, manufacturing and global distribution of Samsung-branded consumer goods. (See FAC, ¶ 4.) SEA, SEC, and SRA were Plaintiff’s employers. (See FAC, ¶¶ 5-6.) They collectively administer employee benefits, payroll, firing, and performance evaluation decisions. (See FAC, ¶¶ 7-10.) Key executives who oversee these operations often hold positions or exercise authority across all three entities. (See FAC, ¶ 8.)

SEC’s, SEA’s, and SRA’s operations are significantly interrelated. (See FAC, ¶ 12.) Their human resources departments work together, meet together, and train together. (*Id.*) SRA conducts research and development to improve the product line for SEA and SEC. (*Id.*) SRA would not survive as a business because it does not directly generate any consumer revenue. (*Id.*) SRA’s employees often perform work directly for SEC and SEA. (See FAC, ¶ 14.) SRA’s

lab-staffing and financial accounting is tied directly to SEC and SEA work specifications and funding. (*Id.*)

During his employment, Plaintiff learned of discriminatory and harassing behavior by vice president of SRA, Kiho Kim, toward Samsung SmartThings employees. (See FAC, ¶ 38.) Plaintiff learned about Kim’s behavior from vice president of SmartThings, Samantha Fein, who was herself discriminated for her gender and harassed. (See FAC, ¶¶ 39-40.)

Pursuant to Samsung/SRA’s anti-harassment policy, Plaintiff reported Kim’s behavior to SRA’s director of human resources on December 15, 2021, and subsequently to SRA’s president on December 22, 2021. (See FAC, ¶¶ 41-42.) Plaintiff met with SRA’s president and director of human services in separate meetings to discuss his concerns. (See FAC, ¶¶ 43-45.) Plaintiff had reported discrimination and unfair labor practices at SRA to human resources on previous occasions. (See FAC, ¶ 47.) Plaintiff also informed his direct manager that the working conditions were negatively affecting his health and had additional meetings with SRA’s human resources about Kiho Kim’s bullying and direct threats to Plaintiff for reporting his concerns. (See FAC, ¶¶ 48-49.)

On January 19, 2022, Plaintiff was terminated without cause and was told the reason for his termination was role elimination; which was SRA’s pretext. (See FAC, ¶¶ 50-58.) SRA continues to operate the Visual Display Intelligence Lab, maintains the “Lab Head” role with identical responsibilities and subsequently appointed Plaintiff’s subordinate as “Lab Head.” (See FAC, ¶¶ 59-60.)

Plaintiff filed a complaint against SRA with California Civil Rights Department (“CRD”) and received an immediate right to sue notice on December 2, 2022. On December 2, 2022, Plaintiff filed his initial complaint. Plaintiff filed a CRD complaint against SEA and SEC and received an immediate right to sue notice on February 20, 2025. On July 8, 2025, Plaintiff filed

the FAC against SRA, SEA, and SEC (collectively, “Defendants”), asserting causes of action for:

- 1) Unlawful retaliation in violation of public policy (against all defendants);
- 2) Wrongful termination in violation of public policy (against all defendants);
- 3) Discrimination in violation of FEHA (against all defendants);
- 4) Harassment in violation of FEHA (against all defendants);
- 5) Retaliation in violation of FEHA (against all defendants); and,
- 6) Failure to prevent and investigate discrimination and harassment (against all defendants).

After SEC and SEA demurred to the FAC, on December 24, 2025, the Court [Hon. Pennypacker] sustained their demurrers without leave to amend to the third through sixth causes of action, stating:

SEA and SEC contend Plaintiff’s claims FEHA claims are not viable because Plaintiff failed to file a timely complaint with the CRD. Although Plaintiff disagrees with the Court’s analysis on this claim, Plaintiff did not contest this portion of the Court’s tentative ruling during oral argument, and this portion is accordingly formally adopted.

To pursue a FEHA claim, an employee must first exhaust administrative remedies by filing a complaint with CRD [formerly the Department of Fair Employment and Housing ("DFEH")] within "three years from the date upon which the unlawful practice ... occurred" and obtaining notice of the right to sue from CRD. (See Cal. Gov't Code § 12960(e)(5), *Blum v. Superior Court* (2006) 141 Cal.App.4th 418, 422; *Medix Ambulance Service Inc. v. Superior Court* (2002) 97 Cal.App.4th 109, 116.) The employee must then file suit "within one year after the filing of a complaint"

with the CDR. (Gov't Code §12965(a)(5)(C).) Failure to exhaust administrative remedies requires that any FEHA cause of action based on that alleged conduct be dismissed. (*Martin v. Lockheed Missiles & Space Co., Inc.* (1994) 29 Cal.App.4th 1718, 1724; *Okoli v. Lockheed Technical Operations Co.* (1995) 36 Cal.App.4th 1607, 1613.)

The scope of the CDR complaint is important as it "defines the scope of the subsequent civil action." (*Rodriguez v. Airborne Express*, 265 F.3d 890, 896 (9th Cir. 2001).) "Allegations in a complaint that fall outside the scope of the administrative charge are barred for failure to exhaust." (*Okoli, supra*, 36 Cal.App.4th at p. 1617.) The administrative exhaustion requirement is satisfied if FEHA claims in a judicial complaint are “ ‘like and reasonably related to’ ” those in the DFEH complaint or “likely to be uncovered in the course of a DFEH investigation”. (*Clark v. Superior Court* (2021) 62 Cal.App.5th 289, 301.)

Plaintiff alleges (1) he was terminated on January 19, 2022, and (2) he received right to sue notices against SRA on December 2, 2022, and against SEA and SEC on February 20, 2025. Judicially noticed CRD records show Plaintiff's initial complaint, CRD case No. 202212-19038202, was filed on December 2, 2022, naming only SRA with no reference to SEA or SEC. Plaintiff's second complaint/amended complaint, CRD No. 202502-28220920, was filed on February 20, 2025, naming SEC and SEA with no reference to SRA. Similarly, Plaintiff's first civil

complaint was filed on December 2, 2022, naming only SRA and DOE Defendants. Plaintiff amended his complaint on July 8, 2025, adding Defendants SEA and SEC and two new FEHA claims for retaliation and failure to prevent and investigate discrimination and harassment. On this record, Plaintiff failed to exhaust his administrative remedies since the CRD complaint against the SEA and SEC was filed approximately thirty days after the three-year statute of limitation had expired.

Plaintiff contends the delayed discovery rule, equitable tolling, and Code of Civil Procedure section 356, toll the limitation period for his CRD complaint against the SEA and SEC and that his CRD complaint against SEC and SEA relates back to his timely CRD complaint against SRA.

California courts have consistently held that, to be named in a lawsuit under FEHA, a defendant must be named in the body or the caption of a previously submitted DFEH complaint. (*Valdez v. City of Los Angeles* (1991) 231 Cal.App.3d 1043, 1061, [lawsuit could not proceed against individuals not named in the DFEH complaint]; *Medix Ambulance Service, Inc. v. Superior Court* (2002) 97 Cal.App.4th 109, 118, [lawsuit could not proceed against defendants not named in the DFEH complaint's caption or body]; *Alexander v. Community Hospital of Long Beach* (2020) 46 Cal.App.5th 238, 251, [same]; *Saavedra v. Orange County Consolidated Transportation etc. Agency* (1992) 11 Cal.App.4th 824, 827, [lawsuit could proceed against a defendant supervisor described in the body of the DFEH complaint, although the caption

named only the defendant employer]; *Martin v. Fisher* (1992) 11 Cal.App.4th 118, 119, [same], *Cole v. Antelope Valley Union High School Dist.* (1996) 47 Cal.App.4th 1505, 1511.) In FEHA context, a CRD complaint shall not be amended to add a new respondent after the statute of limitations has expired. (See *Ortiz v. Sodexho, Inc.* (S.D. Cal., July 26, 2011, No. 10-CV-2224 JLS RBB), 2011 U.S. Dist. Lexis 81065, 2011 WL 3204842.)

However, the relation back doctrine allows addition of new defendants, after the statute of limitation has run, when Plaintiff can show the new defendants knew or should have known the action would be brought against them but for a mistake concerning the proper party's identity. The mistake must concern the plaintiff's knowledge of the proper party's identity. (*Id.* 2011 U.S. Dist. LEXIS 81065, 2011 WL 3204842, at *4.)

The relation back doctrine cannot be so applied to SEC and SEA, however. Read as a whole, the FAC shows Plaintiff knew of the existence of the SEC and SEA and their connection to his employment with SRA throughout his employment; there was no mistaken identity. Indeed Plaintiff alleges: employees reasonably perceived SRA as an extension of SEC, rather than a fully independent enterprise; SRA relies heavily on SEA and SEC for personnel and administrative infrastructure; SEC and SEA exercise significant authority over SRA's day-to-day operation; SRA employees regularly collaborate with teams from SEA and SEC and follow directives issued by SEA or SEC rather than operating under independent authority; SEA, SEC and SRA collectively

administered employee benefits, performance evaluations, hiring and firing; SRA's executives were appointed by and reported to SEA and SEC leadership. (FAC ¶¶ 8, 9, 16, 49.)

Plaintiff's judicially noticed August 9, 2023, opposition to SRA's motion to compel arbitration further demonstrates Plaintiff's knowledge and awareness of the existence of SEA and SEC and their nexus with SRA well before the statutory deadline. Plaintiff argued (1) all major decisions were made by SRA's parent company Samsung, (2) hiring people in his role involved people from multiple Samsung subsidiaries and the parent company, and (3) witnesses from the parent company or subsidiaries were involved and were necessary. (SEC RJN. Ex. 6.)

These allegations also render the delayed discovery rule inapplicable. "An important exception to the general rule of accrual is the 'discovery rule,' which postpones accrual of a cause of action until the plaintiff discovers, or has reason to discover, the cause of action." (*Fox v. Ethicon Endo-Surgery, Inc.*(2005) 35 Cal.4th 797, 807-808.) For claims under FEHA, the maximum period for tolling based on delayed discovery is 90 days. (*Williams v. City of Belvedere* (1999) 72 Cal.App.4th 84, 93.)

According to the FAC and Plaintiff's opposition to the motion to compel arbitration, Plaintiff was aware of SEC and SEA's connection with SRA and his employment. Plaintiff's current argument that he merely suspected the parent companies' involvement until SRA produced the "smoking gun" evidence on

March 6, 2025 is untenable—Plaintiff filed his CRD complaint against SEC and SEA before receiving this document on February 20, 2025. Even if the delayed discovery rule applied to the FEHA claims, plaintiff alleges no facts in his FAC that would support application of the delayed discovery doctrine. Plaintiff fails to allege facts showing the time and surrounding circumstances of his alleged belated discovery of his claims against SEC and SEA, and his inability to make earlier discovery despite reasonable diligence. Given the facts already alleged, however, Plaintiff could not amend to allege such facts in any event.

Plaintiff also argues Code of Civil Procedure section 356 tolled the limitation period for filing his CRD complaint against SEC and SEA. Code of Civil Procedure section 356 provides for tolling where “the commencement of an action is stayed by injunction or statutory prohibition.” In *Woods v. Young* (1991) 53 Cal. 3d 315, the California Supreme Court clarified that Code of Civil Procedure section 356 does not apply universally to all statutory deadlines. Specific statutory schemes, such as those under the Medical Injury Compensation Reform Act (MICRA), may override the general tolling provisions of Code of Civil Procedure section 356 when those statutory schemes provide their own specific rules for tolling or extensions. (*Woods v. Young* (1991) 53 Cal. 3d 315, 324-325.)

The CRD filing deadline is governed by the department’s own statutory framework, which does not incorporate Code of Civil Procedure section 356 for tolling purposes. The parties and

Court identified no authority applying Code of Civil Procedure section 356 to toll the deadline for filing a complaint with the CRD. The stay in this civil lawsuit also did not prevent Plaintiff from commencing an action against SEC or SEA in the CRD; it prevented Plaintiff from prosecuting his case, as then pled, in this particular forum. SEC and SEA were not party to this case during the time of the stay and as such Plaintiff could have commenced action against them at any time.

Finally, Plaintiff contends equitable tolling should apply here because SRA (1) froze the litigation without merit by filing an appeal that stayed the case and then voluntarily dismissing the appeal approximately six months later without any ruling, (2) refused to stipulate to leave to amend from late 2024 until the eve of its opposition deadline in Spring of 2025 and then abruptly relented, and (3) possessed a spreadsheet governing the relationship between SRA and the Moving Defendants but did not produce it until March 2025.

“The equitable tolling of statutes of limitations is a judicially created, nonstatutory doctrine. It is designed to prevent unjust and technical forfeitures of the right to a trial on the merits when the purpose of the statute of limitations—timely notice to the defendant of the plaintiff’s claims—has been satisfied. Where applicable, the doctrine will suspend or extend a statute of limitations as necessary to ensure fundamental practicality and fairness. (*McDonald v. Antelope Valley Community College Dist.*, (2008) 45 Cal. 4th 88, 99, internal citation and quotes omitted.)

“The doctrine operates independently of the language of the Code of Civil Procedure and other codified sources of statutes of limitations...” (*Ibid.*)

Plaintiff's argument employs a fundamental misreading of the equitable tolling doctrine, which permits a court to toll the statute of limitations when a Plaintiff, possessing several legal remedies, reasonably and in good faith, pursues one designed to lessen the extent of his injuries or damage. (*Addison v. State* (1978) 21 Cal. 3d 313, 318.) Equitable tolling exists to permit a plaintiff to pursue non-judicial remedies when such remedies are available, while not prejudicing said plaintiff from seeking judicial recourse if those remedies prove inadequate. Conversely, equitable tolling of the statute of limitations has been permitted when the alternative legal remedy and judicial remedy were brought against the same defendant. Furthermore, equitable tolling requires timely notice, and lack of prejudice, to the defendant, and reasonable and good faith conduct on the part of the plaintiff. (*Id.* at 319). These elements are not present here. SEC and SEA were not parties to Plaintiff's December 2022 CRD complaint against SRA, nor were they parties to the Plaintiff's original civil complaint. Therefore, equitable tolling cannot be implemented to extend the statutory deadline against SEC and SEA.

Accordingly, SEC and SEA's demurrer to the third through sixth causes of action is SUSTAINED WITHOUT LEAVE TO AMEND.

(December 24, 2025 order re: demurrer to FAC, pp. 5-10.)

The Court also overruled SEC and SEA's demurrers to the first and second causes of action, stating:

Plaintiff's claims are based on violation of various provisions of the Labor Code and the common law tort. Unlike a FEHA claim, a wrongful termination claim under public policy is considered a common law tort action. (*Tameny v. Atlantic Richfield Co.* (1980) 27 Cal.3d 167, 170.) The statute of limitations for a claim for wrongful termination in violation of public policy is two years. (Code Civ. Proc. § 335.1; *Mathieu v. Norrell Corp.* (2004) 115 Cal.App.4th 1174, 1189, fn. 14.) The statute of limitation for Labor Code retaliation claim is three years. (Code Civ. Proc. § 338(a).)

Plaintiff initiated this action on December 2, 2022, naming only SRA and Doe defendants. Plaintiff subsequently amended his complaint on July 8, 2025, naming SRA, SEC, and SEA as defendants and alleging additional FEHA claims. It is evident from the FAC that Plaintiff is time-barred from naming SEA and SEC as defendants since the amended complaint was filed well after the Tamney two-year statute of limitation and thirty days after the Labor Code three-year statute of limitation. Plaintiff makes the same tolling arguments and adds that his claims against SEC and SEA are not time-barred since they relate back to the filing date of the original complaint.

The general rule is that an amended complaint that adds a new defendant does not relate back to the date of filing the original complaint and the statute of limitations is applied as of the date the amended complaint is filed, not the date the original complaint is filed."(*Woo v. Superior Court* (1999) 75 Cal.App.4th 169, 176.) However, "[a] recognized exception to the general rule is the substitution under [Code. Civ. Proc. §] 474 of a new defendant for a fictitious Doe defendant named in the original complaint as to whom a cause of action was stated in the original complaint... If the requirements of section 474 are satisfied, the amended complaint substituting a new defendant for a fictitious Doe defendant filed after the statute of limitations has expired is deemed filed as of the date the original complaint was filed." (Ibid.) "Among the requirements for application of the section 474 relation-back doctrine is that the new defendant in an amended complaint be substituted for an existing fictitious Doe defendant named in the original complaint." (*Ibid.*)

"A further and nonprocedural requirement for application of the section 474 relation-back doctrine is that [Plaintiff] must have been genuinely ignorant of [Defendant Doe's] identity at the time she filed her original complaint. The omission of the defendant's identity in the original complaint must be real and not merely a subterfuge for avoiding the requirements of section 474. Furthermore, if the identity ignorance requirement of section 474 is not met, a new defendant may not be added after the statute of limitations has expired even if the new defendant cannot establish prejudice resulting from the delay. However, if the plaintiff is

actually ignorant of the defendant's identity, the section 474 relation-back doctrine applies even if that ignorance is the result of the plaintiff's negligence." (*Id.* at 177.) "Ignorance of the facts giving rise to a cause of action, like ignorance of the true name, should be real and not feigned." (*Scherer v. Mark* (1976) 64 Cal. App. 3d 834, 841.) "'Ignorance' has been repeatedly interpreted to mean that plaintiff must be unaware of defendant's identity or unaware of the defendant's potential culpability." (*Marasco v. Wadsworth* (1978) 21 Cal. 3d 82, 88.)

Plaintiff did not substitute SEC and SEA as Doe defendants. Furthermore, as addressed in the previous section, Plaintiff's allegations and arguments in opposition to SRA's motion to compel arbitration demonstrate his knowledge and awareness of the SEC and SEA's existence and their connection with SRA throughout his employment. Plaintiff fails to meet the requirements of section 474 and as a result SEC and SEA may not be added after the statute of limitations has expired even if they cannot establish prejudice resulting from the delay.

During the hearing, Plaintiff argued Code of Civil Procedure 356 renders these claims timely, as the same analysis regarding a separate statutory scheme for FEHA claims is inapplicable to these claims. Upon questioning, Plaintiff clarified that, although the litigation stay was lifted 10 months before the statute of limitations expired, Plaintiff was entitled to a return of the time when the case was stayed because Plaintiff could not have filed a motion for leave to amend during that time period.

Code of Civil Procedure section 356 provides: “When the commencement of an action is stayed by injunction or statutory prohibition, the time of the continuance of the injunction or prohibition is not part of the time limited for the commencement of the action.” (Code Civ. Proc., § 356.) This Court agrees with Plaintiff that this section tolled the statute of limitations for these claims while this case was on appeal. *Inco Development Corp. v. Superior Court* (2005) 131 Cal.App.4th 1014 clarifies this is the proper result. In *Inco*, the court carefully distinguishes between a statute of limitations and a statute of repose—the latter is a legislative decision to cut off completely the time to bring an action—in other words, after the designated time, there is no case to be brought. The issue here is about the statute of limitations. And, Plaintiff is correct that while this matter was on appeal from the undersigned’s order denying Defendant’s petition to compel arbitration, Plaintiff could not take action to add parties.

Thus, even though the Court determines Plaintiff had enough knowledge at the time this complaint was filed to have included SEC and SEA as parties, Plaintiff would not be barred from adding these parties if the statute of limitations had not run. And the Court agrees with Plaintiff that he is entitled to the 192 days this case was on appeal, since Plaintiff could not have filed a motion for leave to amend during that period of time. That is what section 356 is designed to address.

Plaintiff was terminated on January 19, 2022. If the 192 days is included, that means the statute of limitations on the non-FEHA claims subject to a three statute of limitations expired on July 30, 2025. Plaintiff amended his complaint to add SEC and SEA on July 8, 2025—within this extended statute of limitations.

Accordingly, SEC's and SEA's demurrer to the first and second causes of action is OVERRULED.

(December 24, 2025 order re: demurrer to FAC, pp.10-13.)

SEC moves for summary judgment and SEA separately moves for summary judgment, or, in the alternative, for summary adjudication of the first and second causes of action of the FAC.

I. SEC'S MOTION FOR SUMMARY JUDGMENT

Defendant's burden on summary adjudication

"A defendant seeking summary judgment must show that at least one element of the plaintiff's cause of action cannot be established, or that there is a complete defense to the cause of action. ... The burden then shifts to the plaintiff to show there is a triable issue of material fact on that issue." (*Alex R. Thomas & Co. v. Mutual Service Casualty Ins. Co.* (2002) 98 Cal.App.4th 66, 72; internal citations omitted; emphasis added.)

"The 'tried and true' way for defendants to meet their burden of proof on summary judgment motions is to present affirmative evidence (declarations, etc.) negating, as a matter of law, an essential element of plaintiff's claim." (Weil et al., Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2007) ¶ 10:241, p.10-91, *citing* *Guz v. Bechtel National Inc.*

(2000) 24 Cal.4th 317, 334; emphasis original.) “The moving party’s declarations and evidence will be strictly construed in determining whether they negate (disprove) an essential element of plaintiff’s claim ‘in order to avoid unjustly depriving the plaintiff of a trial.’” (*Id.* at § 10:241.20, p.10-91, citing *Molko v. Holy Spirit Assn.* (1988) 46 Cal.3d 1092, 1107.)

“Another way for a defendant to obtain summary judgment is to ‘show’ that an essential element of plaintiff’s claim cannot be established. Defendant does so by presenting evidence that plaintiff ‘does not possess and cannot reasonably obtain, needed evidence’ (because plaintiff must be allowed a reasonable opportunity to oppose the motion.) Such evidence usually consists of admissions by plaintiff following extensive discovery to the effect that he or she has discovered nothing to support an essential element of the cause of action.” (*Id.* at ¶ 10:242, p.10-92, citing *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 854-855.)

Parties’ arguments

SEC argues that: Plaintiff’s Labor Code claims are untimely as a matter of law because tolling under Section 356 does not apply to Plaintiff’s claims against SEC and Plaintiff is judicially estopped from arguing that any stay existed in this action beyond January 1, 2024; and, Plaintiff’s cause of action for wrongful termination is dependent on the first cause of action.

In opposition, Plaintiff argues that: SEC cannot negate relation-back under Code of Civil Procedure Section 474, and Plaintiff’s actual knowledge in December 2022 is, at minimum, a disputed question of fact; SEC has not shown that the Court’s Section 356 ruling was wrong, and the full record confirms that the Court was right; judicial estoppel does not apply; Plaintiff’s February 20, 2025 motion for leave confirms his diligence; in the alternative, the accrual of Plaintiff’s claims against SEC presents a triable question of fact because SEC’s own role was concealed and undiscoverable; and, because SEC fails to demonstrate that the first cause of action lacks merit, it likewise fails to demonstrate the second cause of action lacks merit.

SEC fails to meet its initial burden to demonstrate that tolling under Section 356 does not apply to Plaintiff's claims, or, there is at least a triable issue of material fact as to whether such tolling applies.

SEC argues that tolling under Section 356 does not apply to Plaintiff's claims against SEC because "Section 356 only tolls a statute of limitations where a party is enjoined or prohibited from filing suit against another," relying on *Kertesz v. Ostrovsky* (2004) 115 Cal.App.4th 369. (SEC's memorandum of points and authorities in support of motion for summary judgment ("SEC's memo"), p.12:6-17.) SEC then concludes that "[t]he kinds of stays by 'injunction or statutory prohibition' that Section 356 embraces are *party and claim specific*." (*Id.* at p.12:17-18 (italics original).) However, there is nothing in *Kertesz*, *supra*, that suggests that conclusion. In fact, in *Kertesz*, the defendant "raise[d] two arguments as to why section 362(a) does not stay appellants' action" and the *Kertesz* court "reject[ed] each argument," stating that "[w]e are persuaded that the import of section 362(a) is 'that all legal actions being taken or to be taken against the debtor are halted... [n]o new lawsuits can be commenced and ongoing proceedings are halted... [t]he section is inclusive... [e]very proceeding of a judicial or quasi-judicial nature is affected'... [b]ecause the commencement of appellants' new action on the judgment was stayed during the pendency of the automatic stay, the California statute of limitations was tolled during this period and appellants' complaint is not time barred." (*Id.* at pp.374-376.) *Kertesz* does not support SEC's position.

SEC next argues that "[w]hile [Code of Civil Procedure] Section 916(a) may have barred Plaintiff from proceeding against SRA for a portion of the time that SRA prosecuted its appeal, the Section 916(a) stay did not extend to claims against non-parties, like SEC... [because] SRA's appeal of the order denying its Motion to Compel Arbitration of Plaintiff's claims against SRA did not implicate the issue of whether other parties could enforce Plaintiff's arbitration agreement with SRA... [n]or did SRA's appeal impact Plaintiff's ability to pursue retaliation or

wrongful termination claims against SEC, regardless of whether SRA’s appeal ultimately was successful... [t]herefore, SRA’s appeal did not embrace or affect the Plaintiff’s ability to pursue new parties like SEC.” (SEC’s memo, p.13:3-28.) SEC relies on a footnote in *Hedwall v. PCMV, LLC* (2018) 22 Cal.App.5th 564, in which the *Hedwall* court noted that “the automatic stay does not suspend trial court proceedings on the remaining components of the litigation, for example, claims against other parties—such as Arcis and PCMV—not resolved by the judgment or order under appeal.” (*Id.*, citing *Hedwall, supra*, 22 Cal.App.5th at p.580, fn.11.) However, unlike the instant case, in *Hedwall*, the other parties—Arcis and PCMV—were already parties to the case. (See *Hedwall, supra*, 22 Cal.App.5th at p.568 (noting that Arcis and PCMV were cross-defendants and PCMV was also the plaintiff).) That situation is distinguishable from the instant alleged situation in which “the claims against other parties” were already alleged.

SEC also cites to *Lipman v. Rice* (1963) 213 Cal.App.2d 474, which states that “possessed as she was of the knowledge of the identity of defendant Rice, appellant cannot be heard to say that [now repealed] section 946 of the Code of Civil Procedure stayed all further proceedings in the superior court from the time the earlier appeal was perfected, and that the statute of limitations was tolled during the pendency of the appeal... [and] plaintiff was free to bring an independent action against Montie Rice.” (*Id.* at p.480.) However, “[t]he plaintiff is deemed ‘ignorant of the name’ if he knew the identity of the person but was ignorant of the facts giving him a cause of action against the person... or knew the name and all the facts but was unaware that the law gave him a cause of action against the fictitiously named defendant and discovered that right by reason of decisions rendered after the commencement of the action.” (*Munoz v. Purdy* (1979) 91 Cal.App.3d 942, 946.) Here, while SEC presents an abundance of evidence that demonstrate that Plaintiff was aware of the identity of SEC, much of the evidence does not establish that Plaintiff “knew of SEC’s relationship to his employment” or that SEC made, directed or approved employment decisions relating to Plaintiff. Alternatively, Plaintiff demonstrates the existence of a triable issue of material fact as to that knowledge. (See Pl.’s separate statement of undisputed material facts, nos. (“UMFs”) 4, 6, 22, 29 and additional disputed material facts nos.

(“AMFs”) 15, 17-20.) As there are triable issues of material fact as to whether Plaintiff was unaware that the law gave him a cause of action against SEC, the motion may not be granted on this basis.

Further, SEC argues that the Notice of Completion on October 26, 2023 perfected the appeal; however, “an appeal is perfected when the notice of appeal is filed” (*Kroger Co. v. Workers' Comp. Appeals Bd.* (2012) 210 Cal.App.4th 952, 959), which was September 18, 2023. (See also *Adoption of Alexander S.* (1988) 44 Cal.3d 857, 864 (stating that “[a] timely notice of appeal vests jurisdiction in the Court of Appeal.” SEC’s calculation of days using the October 26, 2023 date is error since it should use the September 18, 2023 date.

SEC fails to demonstrate the elements of judicial estoppel

“Judicial estoppel is an equitable doctrine designed to maintain the integrity of the courts and to protect the parties from unfair strategies.” (See *Owens v. County of Los Angeles* (2013) 220 Cal.App.4th 107, 121.) “The elements of judicial estoppel are “(1) the same party has taken two positions; (2) the positions were taken in judicial or quasi-judicial administrative proceedings; (3) the party was successful in asserting the first position (i.e., the tribunal adopted the position or accepted it as true); (4) the two positions are totally inconsistent; and (5) the first position was not taken as a result of ignorance, fraud, or mistake.” (*Id.*) Here, it does not appear that the Court, adopted Plaintiff’s position or accepted that the stay dissolved by operation of law on January 1, 2024. Judicial estoppel does not apply here.

SEC fails to demonstrate that the second cause of action for wrongful termination lacks merit.

SEC argues that Plaintiff’s second cause of action for wrongful termination lacks merit because it is dependent on the first cause of action; however, as SEC failed to demonstrate that it is entitled to summary judgment based on its tolling arguments or its argument regarding judicial estoppel, this argument likewise is unpersuasive.

In light of the above rulings, SEC's motion for summary judgment is DENIED.

II. SEA'S MOTION FOR SUMMARY JUDGMENT, OR, IN THE ALTERNATIVE, MOTION FOR SUMMARY ADJUDICATION

SEA moves for summary judgment, or, in the alternative, for summary adjudication of each cause of action. As with SEC's motion for summary judgment, SEA makes the same arguments—Plaintiff's Labor Code claims are untimely as a matter of law because tolling under Section 356 does not apply to Plaintiff's claims against SEA and Plaintiff is judicially estopped from arguing that any stay existed in this action beyond January 1, 2024; and, Plaintiff's cause of action for wrongful termination is dependent on the first cause of action.

As SEA's arguments are identical to those made by SEC in its motion, they likewise are unpersuasive. SEA fails to demonstrate that tolling under Section 356 does not apply to Plaintiff's claims against it, and there is at least a triable issue of material fact as to whether Plaintiff "knew of SEA's relationship to his employment" or that SEA made, directed or approved employment decisions relating to Plaintiff, and SEA also fails to demonstrate that the doctrine of judicial estoppel applies. As a consequence, SEA likewise fails to demonstrate that the second cause of action lacks merit.

Accordingly, SEA's motion for summary judgment, and its alternative motion for summary adjudication are DENIED in their entirety.

Plaintiff shall prepare and submit a proposed final order consistent with this tentative ruling.

Calendar Lines 11-12

Case Name: *Martha L. Pulido et al. v. FCA US, LLC et. al*
Case No.: 26CV486237

Defendant FCA US LLC (“FCA”) demurs to the sixth cause of action for fraudulent inducement alleged in the first amended complaint (“FAC”) filed by Martha L. Pulido and Edwin O. Geraldo (together, “Plaintiffs”). Defendant Sunnyvale Chrysler Dodge Jeep Ram (“Chrysler”) demurs to the FAC’s fifth cause of action for negligent repair.

The court SUSTAINS Chrysler’s demurrer to the FAC’s fifth cause of action without leave to amend. Chrysler’s demurrer is unopposed. A failure to oppose a motion may be deemed a consent to the granting of the motion. (California Rules of Court, Rule 8.54(c) [“A failure to oppose a motion may be deemed a consent to the granting of the motion.”]; *Sexton v. Superior Court* (1997) 58 Cal.App.4th 1403, 1410.)

The court OVERRULES FCA’s demurrer to the sixth cause of action for fraudulent concealment. The FAC satisfies the pleading requirements for a fraud cause of action. (See *Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 217 [noting that fraud must be pleaded with specificity, but less specificity is required when it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy], superseded by statute on other grounds as stated in *Californians for Disability Rights v. Mervyn’s, LLC* (2006) 39 Cal.4th 223, 227.)

The FAC alleges a direct contractual relationship between Plaintiffs and FCA in the form of an express written warranty. (FAC, ¶ 7.) This is sufficient to plead the “existence of a buyer-seller relationship between the parties.” (See *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 843-844 (*Dhital*).) FCA, citing *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1 (*Rattagan*), emphasizes that “the transactional relationship required to trigger a duty to disclose for a fraudulent concealment claim requires direct dealings between the plaintiff and the defendant.” (Memorandum of Points and Authorities in Support of Demurrer (“MPA”), p. 11:1-23.) However, as discussed, the FAC alleges “direct dealings” between FCA and Plaintiffs. (See FAC, ¶ 7.) The court also does not find *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122 (*Ford Warranty*) particularly helpful to FCA. (MPA, pp. 11:24-12:14.) In *Ford Warranty*, the Court of Appeal was not persuaded by the defendant Ford’s argument that Ford was entitled to compel arbitration by relying on an arbitration clause in sales contracts signed by the plaintiff buyers and seller dealerships—Ford itself did not sign these contracts. (*Ford Warranty, supra*, 17 Cal.5th at p. 1126.) Again, the court reiterates that the FAC alleges that FCA *itself* and Plaintiffs entered into a warranty contract.

The FAC alleges that the 2024 Jeep Wrangler purchased by Plaintiffs (the “Subject Vehicle”) exhibited a “battery defect.” (FAC, ¶¶ 12-21.) The FAC then alleges that FCA knew that the Subject Vehicle had this defect and failed to disclose it when Plaintiffs purchased the Subject Vehicle. (*Id.* at ¶¶ 19-26, 67-69.) The FAC further alleges that FCA concealed this defect with the intent to defraud and induce Plaintiffs into purchasing the Subject Vehicle. (*Id.* at ¶¶ 67-73.) The FAC alleges that had Plaintiffs known about the Subject Vehicle’s defect, they would not have purchased it. (*Id.* at ¶ 74.) The Court of Appeal in *Dhital* found similar allegations sufficient to support a cause of action for fraudulent concealment. (*Dhital, supra*, 84 Cal.App.5th at pp. 843-844.) The court notes that although the Supreme Court initially granted review in *Dhital*, it subsequently dismissed review, which means *Dhital* is precedential authority. (Cal Rules of Court, rule 8.1115(e)(2).)

Nor does the economic loss rule bar the FAC's sixth cause of action. The Court of Appeal in *Dhital* held that the economic loss rule does not bar a cause of action for fraudulent inducement by concealment. (*Dhital, supra*, 84 Cal.App.5th at pp. 840-841; FAC, ¶¶ 64-77.) FCA argues that the FAC fails to demonstrate that FCA's conduct "violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract" and that FCA's conduct caused injury to persons or property "that was not reasonably contemplated by the parties when the contract was formed." (MPA, citing *Rattagan, supra*, 17 Cal.5th at pp. 20-21.) *Rattagan* concerned fraud that allegedly occurred *during* a contractual relationship, not fraud in the *inducement* of a contract. (*Rattagan, supra*, 17 Cal.5th at p. 41, fn. 12.) Where fraudulent *inducement* is alleged, the fraud occurs prior to the formation of the contract and is independent from the contract. (*Dhital, supra*, 84 Cal.App.5th at pp. 840-841.)

Calendar Line 13

Case Name: *Charles Cheever v. State Farm General Insurance Company*

Case No.: 26CV490199

Petitioner Charles Cheever ("Cheever") filed this action against respondent State Farm General Insurance Company ("State Farm") based on a dispute regarding water damage to Cheever's condominium located at 101 Alma Street, Apt. 101, Palo Alto, California (the "Condo").

I. Petition to Compel Arbitration

A. Legal Standard

Fire insurance policies on California properties are required to use standard language specified by the Legislature. (Ins. Code, § 2070; *Mahnke v. Superior Court* (2009) 180 Cal.App.4th 565, 572.) "An agreement to conduct an appraisal included in a standard fire insurance policy constitutes an 'agreement' within the meaning of Code of Civil Procedure section 1280, subdivision (a), and thus is considered to be an arbitration agreement subject to the statutory contractual arbitration law." (*Kirkwood v. California State Automobile Assn. Inter-Ins.*

Bureau (2011) 193 Cal.App.4th 49, 57 (*Kirkwood*), internal citation omitted; see also *Louise Gardens of Encino Homeowners' Assn., Inc. v. Truck Ins. Exchange, Inc.* (2000) 82 Cal.App.4th 648, 658 (*Louise*) ["An agreement to conduct an appraisal contained in a policy of insurance constitutes an 'agreement' within the meaning of section 1280, subdivision (a), and therefore is considered to be an arbitration agreement subject to the statutory contractual arbitration law."], internal citation omitted; *Lambert v. Carneghi* (2008) 158 Cal.App.4th 1120, 1131 ["[I]n general, 'appraisal proceedings are subject to the rules governing contractual arbitration proceedings.'"], internal citation and quotation marks omitted.)

Among other policy provisions, in the event the insurer and the insured disagree about the amount of the loss, Insurance Code section 2071 requires the parties to participate in an informal appraisal proceeding. (*Doan v. State Farm General Ins. Co.* (2011) 195 Cal.App.4th 1082, 1092-1093 (*Doan*).) "Under standard policy provisions required by Insurance Code section 2071, when there is a disagreement between the insurer and the insured as to the amount of the loss, then either party may demand an appraisal. Once that demand has been made, then each party shall select a 'competent and disinterested *appraiser*' and then they shall select a 'competent and disinterested *umpire*.' The appraisers shall appraise the loss. If they cannot agree, then they will submit their differences to the umpire. An award agreed to by any two of the three 'shall determine' the amount of the loss. This procedure is mandated by the statute." (*Louise, supra*, 82 Cal.App.4th at p. 652, emphasis original.)

B. Discussion

According to Cheever's petition, Cheever purchased a condominium unit owners insurance policy issued by State Farm for the Condo (the "Policy"). (Petition to Compel Arbitration ("Petition"), p. 3:16-18.) On or about June 5, 2025, the Condo sustained water damage that resulted in damage to the Condo's flooring and other building components of the residence. (*Id.* at pp. 3:19-4:2.) On the same date, Cheever made a claim to State Farm. (Declaration of Charles Cheever in Support of Petition ("Cheever Decl."), ¶ 3.) In

June 2025, State Farm inspected the Condo and generated an estimate for the repair cost in the approximate amount of \$22,547.09 Actual Cash Value and \$22,149.00 RCV in September 2025. (*Id.* at ¶ 4.) On October 6, 2025, Cheever submitted an estimate from his construction consultant in the amount of \$52,088.55 representing the cost to repair the property to its pre-loss condition. (*Id.* at ¶ 5.) On October 9, 2025, in response to Cheever’s estimate, State Farm sent an updated estimate in the amount of \$22,607 ACV, approximately \$30,000 less than Cheever’s estimate. (*Id.* at ¶ 6.)

On October 11, 2025, Cheever “demanded that the amount of loss be set by an appraisal and appointed Bill Hedden as [his] appraiser.” (Cheever Decl., ¶ 7.) “On or about October 23, 2025, State Farm rejected [Cheever’s] request for appraisal of the amount of loss, stating that the policy required itemization of the disputed amounts before appraisal could proceed.” (*Id.* at ¶ 8.)

Neither party disputes the validity of the Policy’s appraisal language. The Policy provides that:

If *you* and *we* fail to agree on the amount of loss, either party can demand that the amount of the loss be set by appraisal. Only *you* and *we* may demand appraisal. A demand for appraisal must be in writing. *You* must comply with SECTION I – CONDITIONS, Your Duties After Loss before making a demand for appraisal. At least 10 days before demanding appraisal, the party seeking appraisal must provide the other party with written, itemized documentation of a specific dispute as to the amount of the loss, identifying separately each item being disputed.

(Cheever Decl., Ex. E at pp. 5-6, emphasis original; see also Declaration of Andy Ewnetu in Support of State Farm’s Opposition, Ex. 1 at p. 21.)

State Farm opposes Cheever's petition on the grounds that it is premature because Cheever failed to comply with the language above, namely that Cheever "issued a bare demand for appraisal without identifying any disputed items, distinguishing areas of agreement, or providing supporting documentation." (Opposition to Petition ("Opposition"), p. 4:15-16.)

State Farm further argues that the Petition "expands appraisal beyond its permissible scope." (Opposition, p. 5:3-4.) According to State Farm, any damage to the Condo can be addressed through partial replacement of the Condo's flooring, whereas Cheever's construction consultant concluded that flooring needed to be replaced throughout the entire Condo. (*Id.* at p. 5:7-9.) State Farm contends that appraisers have no authority to decide coverage, legal questions, or other contractual issues, but rather an appraiser is limited to determining the "amount of loss of each item in dispute." (*Id.* at p. 5:4-5.)

The court is not convinced that State Farm's concern that Cheever "improperly seeks to have appraisers decide . . . an issue that implicates scope and coverage rather than simple valuation" requires the court to preclude appraisal here. (Opposition, p. 2:6-9.) The court acknowledges that an appraiser's authority is restricted to determining the actual cash value or amount of loss of the specific items submitted for their consideration. (*Doan, supra*, 195 Cal.App.4th at p. 1094 ["It is certainly not their function to resolve questions of coverage and interpret provisions of the policy."], internal citations omitted.) "Matters of statutory construction, contract interpretation and policy coverage are not encompassed within the ambit of a section 2071 appraisal." (*Kirkwood, supra*, 193 Cal.App.4th at p. 53.)

However, the existence of disputed issues regarding coverage does not necessarily preclude an appraisal. (*Devonwood Condominium Owners Assn. v. Farmers Ins. Exchange* (2008) 162 Cal.App.4th 1498, 1507, fn. 4 ("[A] judgment after confirmation of an appraisal award fixing the cash value of loss does not preclude further litigation on other issues between parties to an insurance policy.") An "appraisal panel may assign a value to items as to

which coverage is disputed with the disclaimer that the award does not establish coverage or the insurer's liability to pay. The issue of whether the loss is covered under the policy is a separate legal issue that must be resolved outside the appraisal process.” (*Lee v. California Capital Ins. Co.* (2015) 237 Cal.App.4th 1154, 1170 (*Lee*).)

“If an appraisal were limited to items of loss that the parties agree are covered, but there is disagreement as to whether certain items are covered, the parties would still be required to litigate whether the disputed items are covered. In that case, because there would be no appraised value for disputed items that subsequently may be determined to be covered, the parties would be required to engage in a further attempt to appraise the items that were omitted in the first appraisal. Plainly, it is more efficient to value all items of loss, including disputed items, at the time an appraisal is performed. If it is determined there is no coverage for certain items, those items can simply be struck from the award without requiring a further referral to an appraisal panel.” (*Lee, supra*, 237 Cal.App.4th at p. 1170.)

Nor is the court convinced by State Farm's argument that Cheever “failed to comply with the Policy's requirement that, before demanding appraisal, the insured provide written, itemized documentation identifying each disputed component of the loss.” (Opposition, p. 4:12-14.) Fire policies are governed by a standard form:

All fire policies on subject matter in California shall be on the standard form, and, except as provided by this article shall not contain additions thereto. No part of the standard form shall be omitted therefrom except that any policy providing coverage against the peril of fire only, or in combination with coverage against other perils, need not comply with the provisions of the standard form of fire insurance policy or Section 2080; provided, that coverage with respect to the peril of fire, when viewed in its entirety, is substantially equivalent to or more favorable to the insured than that contained in such standard form fire insurance policy.

(Ins. Code, § 2070.)

The language emphasized by State Farm in its opposition is not “substantially equivalent to” to the language contained in the standard form fire insurance policy, which does not include any requirement that “before demanding appraisal, the insured provide written, itemized documentation identifying each disputed component of the loss.” (Opposition, p. 4:13-14; see Ins. Code, § 2071.) Nor does this language appear “more favorable to the insured.” (Ins. Code, § 2070.) Ultimately, under “the statutorily mandated appraisal provision, the parties are required to participate in an informal appraisal proceeding in the event there is a disagreement about the actual cash value or the amount of the loss and the insurer or insured makes a written request for an appraisal.” (*Lee, supra*, 237 Cal.App.4th at p. 1166, footnote omitted.) That is what appears to have occurred here.

Moreover, the court notes that it appears that State Farm presented an estimate of repairs to Cheever, Cheever rejected “State Farm’s estimate for the water damage repairs” to the Condo, and thereafter Cheever sent State Farm a repair estimate prepared by a “construction consultant” that included a line-item review of repair estimates. (Cheever Decl., ¶¶ 4-7, Exs. A-D.) With this in mind, the court is inclined to agree with Cheever’s point that Cheever “identified the dispute by submitting his own estimate and challenging the entirety of State Farm’s valuation of the loss.” (Petition, p. 8:7-8.)

State Farm requests that if the court is inclined to grant Cheever’s petition, the court should “carefully tailor” any order to “ensure the process remains within its permissible scope.” (Opposition, p. 6:2-4.) The court notes that the “function of appraisers is to determine the amount of damage resulting to various items submitted for their consideration. It is certainly not their function to resolve questions of coverage and interpret provisions of the policy.” (*Kirkwood, supra*, 193 Cal.App.4th at pp. 58-59, internal citations and quotation marks omitted.)

“Under section 2071, an appraiser has authority to determine only a question of fact, namely the actual cash value or amount of loss of a given item.” (*Id.* at p. 59, internal citation omitted.) An “appraisal panel may assign a value to items as to which coverage is disputed with the disclaimer that the award does not establish coverage or the insurer’s liability to pay.” (*Lee, supra*, 237 Cal.App.4th at p. 1170.) “When an appraisal panel exceeds its powers by deciding coverage issues, and the award cannot be corrected without affecting the merits of the decision, the decision must be vacated.” (*Kacha v. Allstate Ins. Co.* (2006) 140 Cal.App.4th 1023, 1033, internal citation and footnote omitted.)

The court GRANTS Cheever’s petition to compel arbitration.